

# LUMN pitch deck

## PITCH — LUMN — VERDICT

**PROPOSED — PENDING ADJUDICATION** — no position, no bid at today's \$5.94; the file reopens on a dated filing read (FY26 10-K refundability language) or a price ladder starting \$4.60.

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### What we believe

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Lumen Technologies is a shrinking long-haul telephone-and-fiber carrier that has been re-sold to the market as an AI-infrastructure supplier. It signs very large, very long contracts with hyperscale cloud customers — twenty-year rights to use strands of fiber — and it collects a great deal of the money **up front**, years before it delivers the service.

Three things follow, and we believe all three:

1. **The cash flow the stock is valued on is largely customer money, not earned money.**  
At today's price the company looks like it yields roughly 33% in free cash flow — \$2.0B of guided cash against a \$6.08B market value. That number is real cash but it is not repeatable income. When you subtract the customer prepayments collected during the period, cash flow was **negative in both the first half of 2026 and the first half of 2025**. Both of our benches — the one arguing to buy and the one arguing to reject — arrived at that same conclusion using each other's arithmetic. It is the most solid thing in this file.
2. **There is a \$9.18 billion obligation that almost nobody puts in the valuation.** Deferred revenue — money collected but not yet earned — sits at \$999M current plus \$8,178M long-term. That is **1.5× the entire stock market value of the company**. If you treat it as what it is (a promise to deliver service that costs money to deliver), the enterprise is worth \$26.6B against roughly \$3.2B of 2026 profit — about **8.3× — not the 5.4× the screens show**.
3. **The mechanism by which future revenue arrives with no cash attached is written in the filing, not inferred.** In the February 2026 sale of the consumer fiber business to AT&T, Lumen “granted the purchaser an IRU for specified Lumen retained fiber assets for an initial term of 20 years **at no incremental charge**.” Twenty years of revenue that will be recognized against zero incoming cash. That sentence is in the 10-Q.

We also believe something that cuts the other way: **the balance sheet genuinely got better**. Long-term debt fell from \$17.35B to \$13.15B, and quarterly interest expense fell from \$338M to \$201M — about \$548M a year, saved permanently. That saving is real regardless of how it was paid for.

### What the market believes

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The market believes Lumen is a cheap, de-levering telecom stub with an AI kicker. Eleven analysts cover it; the consensus rating is Hold; price targets cluster \$7.64–\$8.34 against a \$5.94 stock. Consensus 2026 EBITDA of \$3.1–3.3B is simply management’s own guidance repeated back — an echo, not an independent estimate. Nobody has published a 2027 number we could find, and 2027 is when this actually gets decided.

The stock is down 50% from its 52-week high of \$11.95 but already **up 30% from its low of \$4.57**. Short interest is about 7.3% of the float. So the market is not asleep on the bear case — it is holding a hotly contested, half-retraced stock at a headline multiple that ignores the deferred-revenue obligation.

## Why we might have edge

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Four specific things, ranked by how much we trust them:

1. **Nobody’s enterprise value includes the \$9.18B.** Both of our own benches computed enterprise value as market cap plus net debt and got \$17.41B. So does every screen. Adding the delivery obligation moves the multiple from 5.4× to 8.3×. This requires no controversial finding — only the observation that delivering twenty years of contracted service costs money.
2. **We read the actual contract disclosure, and it does not cover the exposure.** The accounting standard requires a table showing when contracted revenue will be delivered. Lumen’s table shows **\$5.9B** (\$1.5B rest-of-2026, \$2.1B in 2027, \$2.3B in 2028+) against a **\$9.18B** deferred balance. The table is supposed to *include* contract liabilities by construction — so **\$3.3B+ of the prepaid book is not scheduled anywhere in the filing**. We do not know when it delivers, or under what terms. That is a gap in public disclosure, and gaps in public disclosure are where a research desk can occasionally get paid.
3. **Part of the “customer prepayment” is not a customer prepayment.** Of the \$1,772M deferred-revenue increase in the first half, **\$613M is AT&T sale consideration** — \$88M current, \$525M long-term — recorded when Lumen booked \$729M of liabilities at fair value for “contractual credits and commercial agreements” in the divestiture. It shows up in the same line as hyperscaler prepayments and is not the same thing. Anyone reading the deferred-revenue line as a demand signal is reading sale price.
4. **\$729M of divestiture proceeds sits inside operating cash flow.** Disclosed — the 8-K reconciliation names it explicitly — but aggressive presentation. It is the kind of thing that tells you how management wants the cash statement read.

## Why it might be priced in

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Honestly, most of it probably is, and we should say so:

- **The prepayment model has been visible for eight straight quarters.** Long-term deferred revenue went \$2.1B → \$3.7B → \$6.4B → \$8.2B, disclosed every time. This is not a discovery; it is

the disclosed business model. A stock 50% off its high with 7.3% short interest is not a stock whose bear case is undiscovered.

- **The stock is already 30% off its low and rose 3.9% the day the court closed.** We would be arriving after the first leg of the re-rate, in a rising tape.
- **The 5.4× multiple may itself be the market's way of pricing the obligation.** We cannot prove the market is failing to discount the deferred book versus simply expressing that discount through a low headline multiple. These are observationally identical.
- **The bull answer to our cliff is coherent and we cannot refute it.** If capital spending falls as the build ends — management targets \$1B of run-rate savings exiting 2027 and mid-30% EBITDA margins by 2030 — then delivering the prepaid obligation costs less than we assume, and the “cliff” is a wash. Our red bench raised this. We downgraded it from confirmed to plausible only because its evidence is management's own guidance, which is not verification. But *plausible* is not *refuted*.
- **The one number that would settle it does not exist.** There is no published 2027 EBITDA or free-cash-flow estimate to disagree with. Without an outside anchor, we cannot say we differ from the market — only that we differ from a Hold rating.

## What could go wrong

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### Failure narrative 1 — The deferred book is float, not debt, and we shorted the funding model of a working business

The most likely way this loses money is the simplest: the prepayments are non-refundable, the delivery cost is already inside guided capital spending, capex steps down after 2027 exactly as management says, and the \$9.18B is permanent low-cost customer financing — the best liability structure in telecom, not a hidden debt. In that world 5.4× is the right multiple, the \$548M/year of saved interest compounds, the stock works back toward the \$7.64–\$8.34 target band, and our reopen ladder at \$4.60 never prints.

**Tripwire exists:** the FY26 10-K's refundability and termination-for-convenience language, and the 2027 capex disclosure. Both are monitorable.

### Failure narrative 2 — We enter on the refundability read and the tail arrives from a different direction

We wait for the 10-K, it says non-refundable, we start a position at \$4.60 — and the loss comes from something we never priced: shareholders' equity is **negative \$1,488M**. A company with a stockholders' deficit, \$13.15B of debt, and a decaying legacy revenue base has an equity stub whose downside is not bounded by any book value. A refinancing window that closes, a covenant renegotiation, or a dilutive equity raise takes the stub much closer to zero than a 20% de-rate. **Tripwire exists** (S-3 shelf, 424B, 8-K Item 2.03/1.01 debt events) but it is a *reaction* tripwire, not an early warning — by the time the 8-K files, the move has happened.

## **Failure narrative 3 — The contract terms we will never see (NO MONITORABLE TRIPWIRE)**

**Unknown-unknown class: private-contract opacity — bilateral commercial terms that are never filed, never summarized, and never observable from any public feed or data connector.** The hyperscaler IRU and private-connectivity-fabric agreements behind the \$8.18B are not filed as exhibits. They may contain most-favored-nation pricing, service-credit triggers, capacity-shortfall remedies, build-milestone penalties, assignment restrictions on change of control, or termination rights that convert a “prepayment” into a contingent repayment. **We have no tripwire for any of this.** There is no filing that discloses it, no press release that announces it, no dataset that proxies it, and — as our detector sweep confirmed — no connector on our desk observes cash quality or contract terms. We would learn about it the way everyone else does: from a surprise charge, a restatement, or a customer walking. The correct response to an unmonitorable exposure is not a tripwire; it is a smaller size, which is why the cap below is 0.75% and not 3%.

### **The reflexive and structural leg — our own size, our own predicted flow, and our own rules**

- **Our size is irrelevant to the tape, and I could not verify that.** LUMN trades many millions of shares a day; a 0.25%–0.75% book position is far under our 1%-of-average-volume ceiling. **But the IBKR price and history rail was permission-denied to both benches in this session, so I have no verified average daily volume figure and no verified intraday tape.** I am asserting liquidity from the name’s profile, not measuring it. That is a real gap and it is stated, not buried.
- **The reflexive risk here runs backwards from the usual one.** Our normal worry is bidding into a decline we ourselves predicted. That does not apply at this size. The actual reflexive problem is a **7.3% short base on a story stock**: if the AI-infrastructure narrative reasserts, that short base is squeeze fuel, our \$4.60 rung never trades, and the “discipline” of waiting produces a 100% miss rather than a loss. A patient limit ladder on a squeezable name has a materially higher probability of simply not filling than our usual ladders do. We should hold that expectation honestly rather than discover it in six months.
- **Rule interactions, three of them.** (a) The \$729M-inside-operating-cash-flow presentation is aggressive but **disclosed**, so under our own standard it is a caution flag, not a disqualifier — the name stays eligible for full valuation. If a later filing shows it was *not* disclosed contemporaneously, that flips and the name becomes ineligible for anything above a heavily discounted valuation. (b) Our rule that unverified fairness disqualifies paying up applies squarely here: refundability is unverified, so **no premium, no market-order entry, limit rungs only**. (c) **Not checked**: whether LUMN appears in the tax-managed Parametric sleeve. If it does, a purchase here could interact with harvesting in that account. This must be checked before any order stages — I flag it rather than assume it.

**If this position loses money, the most likely reason will be that the \$9.18B of deferred revenue turns out to be exactly what management presents it as — non-refundable**

**customer financing against contracts whose delivery cost falls with the capital budget — and we will have paid for a hidden liability that was never hidden and never a liability.**

## What we checked ourselves

| Claim                                                                                          | How checked                                                                   | Found                                                                                                                                                                                                                                                                                                                         | Confirmed?                                 |
|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|
| “77% of operating cash flow is customer prepayments” — <b>our own opening brief’s headline</b> | Decomposed the year-to-date deferred-revenue change by quarter using SEC XBRL | <b>Our brief was wrong.</b> \$1,602M of the \$1,772M landed in Q1’26 alone. Q2’26 standalone was \$170M against \$971M of quarterly operating cash flow — <b>17.5%, not 77%</b>                                                                                                                                               | <b>✗ Our error, corrected</b>              |
| “Underlying cash generation got \$590M worse year over year” — <b>our own opening brief</b>    | Rebuilt on a single consistent basis; both benches then audited each other    | <b>Our brief was wrong.</b> It subtracted prepayments from a GAAP cash figure and compared to guidance stated excluding special items — mixing two definitions. On one basis, half-year deterioration is <b>\$116M, not \$590M</b>                                                                                            | <b>✗ Our error, corrected</b>              |
| The red bench’s counter: “it’s actually a <b>\$591M improvement</b> ”                          | Checked red’s arithmetic against red’s own half-year line                     | <b>Red overcorrected.</b> Its own half-year same-basis figures — \$(689)M vs \$(573)M — show <i>deterioration</i> . Red then switched to a quarterly window to flip the sign, comparing two quarters at different points in a signing cycle red itself said had shifted. That is the same window artifact red charged us with | <b>✗ Red’s error</b>                       |
| Ex-prepayment cash flow is negative in both years                                              | Red’s corrected numbers, both windows                                         | <b>Yes — on red’s own math.</b> \$(689)M in H1’26, \$(573)M in H1’25. Red never contested the level, only the delta                                                                                                                                                                                                           | <b>✓</b>                                   |
| Share count and enterprise value                                                               | 10-Q cover page tag                                                           | <b>We used a stale count.</b> 1,031,445,404 shares at 2026-07-31, not 994.5M. Correct: cap \$6.08B, net debt \$11.33B, EV <b>\$17.41B</b> , cash yield 32.9% not 33.8%                                                                                                                                                        | <b>✗ Our error, corrected (immaterial)</b> |
| “This is a well-covered consensus bear case” (red’s argument to reject)                        | Examined what the coverage actually contains                                  | <b>Tag fails.</b> Red’s evidence was a Hold rating, a price-target band, and a 2026 EBITDA “consensus” identical to management’s guide. That is coverage counting, not an independent estimate to differ from. <b>No 2027 estimate exists</b> — and 2027 is the operative year                                                | <b>✗ Red’s error</b>                       |
| Red’s fix: “capex falls, so the cliff is a wash”                                               | Traced the support                                                            | <b>Guidance, not verification</b> — management’s own 2030 margin targets. Red charged us with one-sided-ledger reasoning and then did it. Downgraded from confirmed to plausible. It remains a real risk to our thesis                                                                                                        | <b>⚠ Plausible, unrefuted</b>              |
| Deleveraging was funded by selling the business, not by operations                             | 8-K cash-flow statement                                                       | <b>True, and a genuine catch by red.</b> \$4,977M of sale proceeds funded the \$4,203M debt paydown. It cannot repeat. But the \$548M/year interest saving is permanent regardless of source, and the sold business’s earnings are gone too — the catch cuts both ways                                                        | <b>✓ True, non-fatal</b>                   |

| Claim                                                 | How checked                                                                         | Found                                                                                                                                                                                                                                     | Confirmed?                    |
|-------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|
| The contract-delivery schedule can date the \$8.18B   | Pulled the 10-Q revenue note directly                                               | <b>It cannot.</b> \$5.9B scheduled versus \$9.18B on the balance sheet — \$3.3B+ is outside the table entirely. Red made obtaining this table its #1 condition for changing its mind; the table structurally does not answer the question | ✅ (gap confirmed)             |
| \$613M of the “prepayment” is AT&T sale consideration | 10-Q Note 2, divestiture                                                            | <b>Confirmed.</b> \$88M current + \$525M long-term. Red asserted an annual signing cadence without checking the cause of its most recent instance                                                                                         | ✅ / ❌ Red’s error             |
| Are the prepayments refundable?                       | Searched the revenue note for refundability or termination-for-convenience language | <b>Not found — and absence is not a clean read.</b> This is the single question the whole thesis turns on and we cannot answer it from the Q                                                                                              | ❌ UNRESOLVED                  |
| Detector sweep matched the case                       | Compared each bench’s detector list to the dispatched atlas                         | <b>Red’s sweep did not match the dispatch</b> — it ran four detectors not in the atlas and skipped four that were. Its substantive conclusion (no connector observes cash quality) was nonetheless right                                  | ❌ Process error, right answer |
| Live price and volume                                 | IBKR rail                                                                           | <b>Permission-denied to both benches.</b> Both substituted secondary quotes. Pack price \$5.935; red’s substituted close \$5.89. <b>No verified tape, no verified volume</b>                                                              | ❌ COVERAGE GAP                |
| Blue bench’s 10-Q reads                               | Method audit                                                                        | <b>Proxy-fetched and machine-summarized, not line-item verified against the raw exhibit.</b> The \$88M/\$525M split especially. Findings are quoted accurately but the extraction path is second-hand                                     | ⚠️ Method caveat              |
| Next earnings date                                    | Searched for a company announcement                                                 | <b>2026-10-29 is UNCONFIRMED.</b> Derived from a data vendor; consistent with the 2026-05-05 / 2026-08-04 filing rhythm, but no company press release names it                                                                            | ⚠️                            |

## PROPOSED ENTRY BANDS

**The courts said no entry. This section states the reopen conditions instead.** Current position: none. Current orders: none.

**Why no entry, named plainly:** not valuation — a **data gap**. We cannot determine whether \$3.3B+ of a \$9.18B prepaid obligation is refundable or performance-contingent. If it is refundable, it is contingent debt against a company with negative shareholders’ equity, and no price is safe. Under our own rules an unresolved data question is a stop, not a discount. That is the named kill, and it is the only one.

**Gate 1 — the read that must clear first (no bid before it does):** The **FY26 10-K** (expected late February 2027, unconfirmed) must show either (a) refundability / termination-for-convenience language for the prepaid contracts, or (b) a reconciliation between the \$5.9B contract-delivery table and the \$9.18B deferred balance. If it shows the prepayments are **refundable or performance-contingent** → **the file closes permanently**; that is a debt disguised as revenue and no entry price applies. If it shows **non-refundable** → **the ladder below arms**.

**Reopen ladder — arms only after Gate 1 clears “non-refundable”:**

| Rung       | Price         | Size          | The arithmetic behind it                                                                                                                                                                                   |
|------------|---------------|---------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1          | <b>\$4.60</b> | 0.25% of book | <b>Conventional enterprise value = \$4.74B cap + \$11.33B net debt = \$16.1B ÷ \$3.2B EBITDA = 5.0×. Sits just above the 52-week low of \$4.57</b>                                                         |
| 2          | <b>\$3.95</b> | +0.25%        | <b>4.8× conventional; 7.7× counting the deferred obligation</b>                                                                                                                                            |
| 3          | <b>\$3.40</b> | +0.25%        | <b>The price at which the whole enterprise including the \$9.18B delivery obligation trades at 7.5× — i.e. the price that is defensible even if we are entirely right that the obligation is real debt</b> |
| <b>Cap</b> |               | <b>0.75%</b>  | <b>Hard. Justified by narrative 3: an exposure with no monitorable tripwire gets size discipline instead</b>                                                                                               |

**A structural note on the ladder that matters:** because the equity is a thin \$6.08B slice of a \$26.6B enterprise, a 20% move in the stock changes the all-in multiple by only about 4%. The stock is a highly levered option on the enterprise. That cuts both ways and is precisely why the rungs are wide and the total is small.

**Interim size before Gate 1: zero.** Not a starter. Our default is that a clean court with no named kill earns a minimum starter — this court has a named kill (unresolved refundability), so the default does not apply.

**Upside invalidation — close the file: above \$7.64** (the low end of the Street target band) with Gate 1 still unresolved. At that price the market has re-rated on the narrative, our margin of safety is

gone, and we do not chase. Log the miss and move on.

**Catalyst dates:** - **2026-10-29** — Q3'26 earnings, **UNCONFIRMED** (vendor-derived; no company announcement located). ~45 trading days out. Not close enough to constrain anything today. - **~2026-11-04** — Q3'26 10-Q, estimated from the 2026-05-05 / 2026-08-04 cadence, unconfirmed. **The read that matters:** the quarterly deferred-revenue change **with the AT&T tranche stripped out first**. A raw threshold test misfires because \$613M of the last build was sale consideration, not customer cash. - **~2027-02-26** — FY26 10-K, estimated, unconfirmed. **This is Gate 1. - Undated** — first published 2027 EBITDA or free-cash-flow estimate from any covering analyst. This is the outside anchor neither bench could obtain, and without it we cannot claim to differ from the market.

**Before any order stages:** check whether LUMN is held in the tax-managed Parametric sleeve. Not done.

## ARMED SENSORS

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(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.4 (deck-provisional: Rung 3 / deep-value floor: price at which the enterprise including the \$9.18B deferred delivery obliga)
- filing watch: 10-K until 2027-02-21 (deck-provisional: GATE 1 — the FY26 10-K must disclose refundability / termination-for-convenience terms or reconcile th)
- dated pack LUMN|2026-10-29: LUMN: Q3'26 earnings — vendor-derived, named by no company press release; ~45 trading days out, does not constrain today's decision. (date c
- dated pack LUMN|2026-11-04: LUMN: Q3'26 10-Q, estimated from the 2026-05-05 / 2026-08-04 filing cadence — read the deferred-revenue change with the AT&T tranche removed
- dated pack LUMN|2027-02-26: LUMN: FY26 10-K, estimated from prior-year cadence — GATE 1: refundability language and the RPO-to-deferred reconciliation. (date confirmed=

## What remains unverified

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1. **Refundability — the question the entire thesis turns on.** No refundability or termination-for-convenience language located anywhere in the 10-Q revenue note. Not a clean “non-refundable” read; an absence of evidence.
2. **The scheduling of \$3.3B+ of the deferred book.** The contract-delivery table covers \$5.9B against a \$9.18B balance. The 10-Q does not state whether the uncovered portion falls under an invoicing shortcut, lease accounting, or something else.
3. **What it costs to deliver the prepaid obligation.** We assert delivery consumes capital; we have not built the capex-by-year case. Neither did red, which is why its “capex falls, so it's a wash” answer stands as plausible rather than refuted.
4. **Any 2027 estimate from anyone.** No published street EBITDA or free-cash-flow figure for the operative year. Without it, “the market has this wrong” is an assertion about a Hold rating.

5. **Confirmation of the October 29 earnings date.** Vendor-derived only.
6. **Live price, volume, and average daily volume.** The desk's own price rail was unavailable to both benches. Working price \$5.935 from the evidence pack; secondary close \$5.89. Liquidity assumed from the name's profile, not measured.
7. **Line-item verification of the 10-Q reads.** The \$88M current / \$525M long-term AT&T split, and the divestiture-note quotes, were obtained through a text proxy and machine-summarized. They should be checked against the raw exhibit before they support an order.
8. **Whether LUMN sits in the tax-managed Parametric sleeve.** Unchecked, and a prerequisite to any purchase.
9. **Customer concentration behind the \$8.18B.** No counterparty disclosure located. The customers are presumed hyperscalers; presumed is the operative word.

**Primary sources:** [Lumen 10-Q, period ended 2026-06-30](#) · [Lumen 8-K Exhibit 99.1, 2026-08-04](#) · [SEC XBRL company concept, CIK 0000018926](#)

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